fundstrat

Fundstrat Global Advisors
150 East 52nd St., 31st Floor
New York, NY 10022

October 31, 2018

CRYPTO TA STRATEGY: Crypto Prices remain Range Bound –A/D lines probe new lows

- **Near-term weakness within narrow trading ranges -** Most crypto currencies declined short-term last week but very few showed evidence of breaking below narrow trading ranges established through the Fall.
- **What's changed? Breadth/participation did decay the past week -** Our proprietary FS CryptoFX Advance-Declines did weaken the past week with the FX10 Large-cap A-D line fixed in a downtrend probing new lows WHILE the FX40 Mid-cap A-D line is breaking below its 2 ½ month trading range AND the FX250 is challenging the low end of its 1 ½ month trading range.
- **Bottom line:** A-D lines probing new lows remains a concern. To change the technical outlook, crypto currencies will need to resolve their recent ranges to the upside with the September highs a key upside threshold that will need to be breached to signal a more bullish turn. For now, we encourage investors to remain patient and wait for technical evidence to signal an improvement.

Chartbook section highlights:

1. **FS CryptoFX Advance-Decline lines (-) Change: New Lows** - FX 10 Large-cap A-D line downtrend intact WITH the FX 40 Mid-cap A-D line is beginning to break below its 2 ½ month trading range with the FX 250 Small-cap A-D challenging 1 ½ month lows. Slides 4-5
2. **Fundstrat Crypto FX 10 Large-cap, 40 Mid-cap and 250 Small-cap Indices** – Change: Near-term weakness in the relative performance FX 250 Small-cap Index vs the FX 10 Large-cap still ABOVE the key upside reversal level defined by the September highs. Slides 6-8
3. **Fundstrat CryptoFX Sector Indices** – **FS Exchange** index continue to lead. Slides 9-13
4. **BTC** – Minor breakdown below its recent narrow trading at 6400 to 6200 but effectively still range bound. Key reversal levels remain unchanged at 6840 resistance 6200 support. Remain patient. Slides 14-16
5. **ETH** – No meaningful change - Deeply oversold and attempting to bottom above 195 support. 250 remains initial resistance ETH will need to move above to signal the early stages of a downtrend reversal. Slides 20-22
6. **XLM, BCH, LTC, NEO, ADA, EOS, XRP, TRX** – Most cryptocurrencies failed to resolve narrow trading ranges to the upside weakening toward the lower end of important trading support at their Fall trading range lows. XLM remains noteworthy, challenging its May-October downtrend. Slides 20-29

CRYPTO TA STRATEGY

Technical Strategy
Rob Sluymer, CFA[AC]
+1 212 293 7135
robert.sluymer@fundstrat.com | @rsluymer

US Portfolio Strategy
Thomas J. Lee, CFA
+1 212 293 7131
thomas@fundstrat.com | @fundstrat

Data Science Research
Sam Doctor
+1 212 293 7132
sam.doctor@fundstrat.com | @fundstratQuant

Washington Policy Strategy
L. Thomas Block
+1 212 293 7130
tom.block@fundstrat.com | @TomBlock_FS

Crypto A-D Lines probe new lows

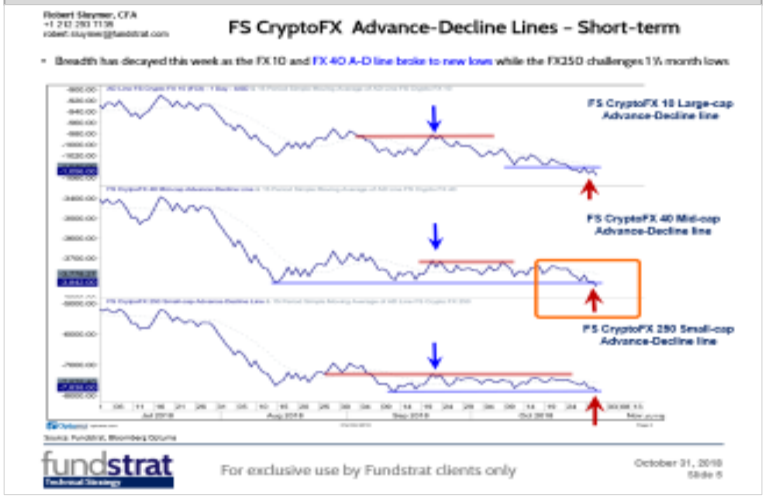


This document is prepared solely for Fundstrat clients. For inquiries, please contact Sales at 212-293-7140 or via email sales@fundstrat.com.
Bloomberg: FSGA <<GO>>
Click here for research library.

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Key charts in this report…

A-D lines are again probing new lows



…but small-caps vs large-caps remain have improved



BTC remains in an unusually tight trading range



…and ETH continues to hold key support near 200



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

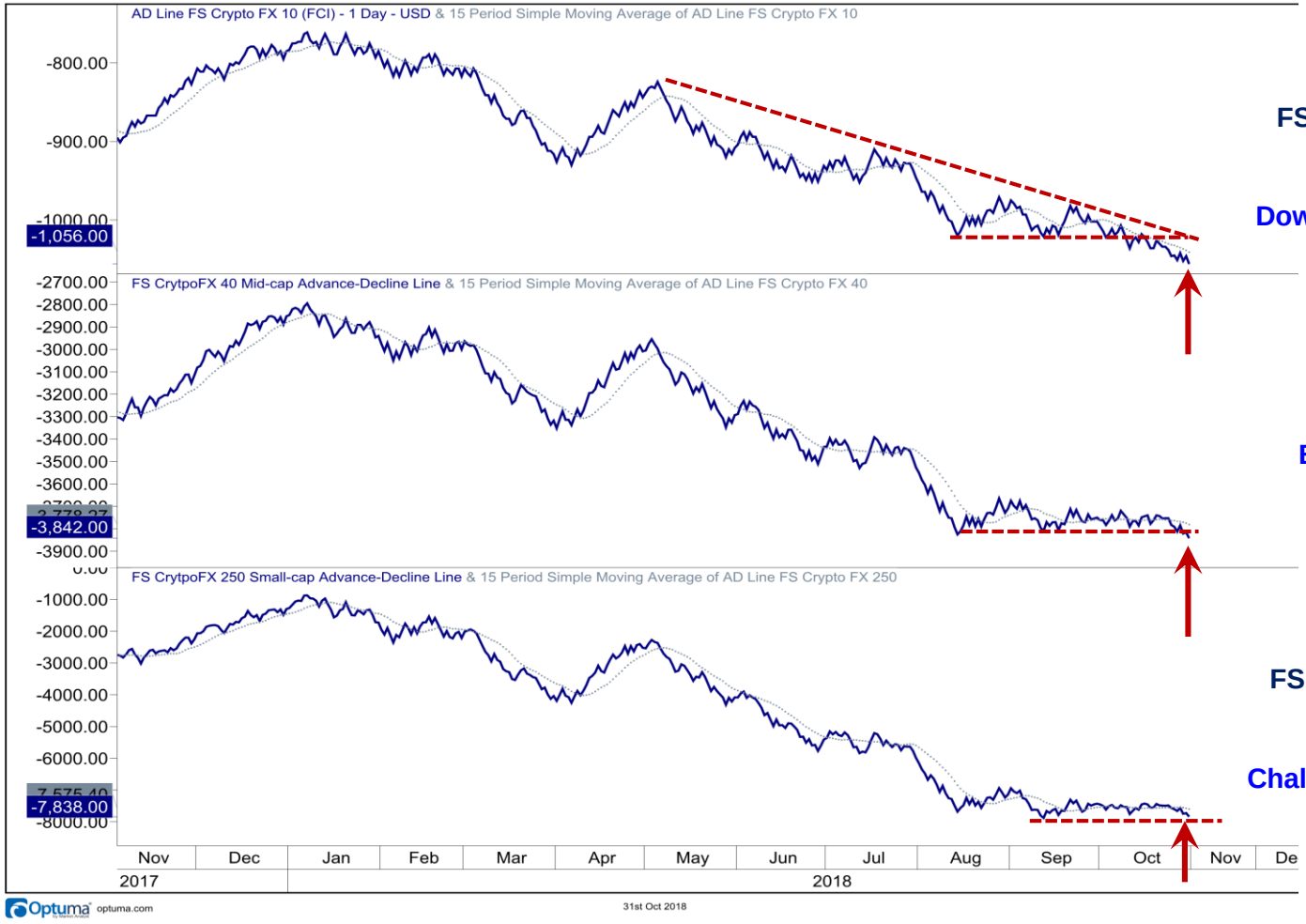
- **FS CryptoFX Advance-Decline Indices**
- **FS CryptoFX Market Cap Size Indices**
- **FS CryptoFX Sector Indices**
- **Bitcoin – BTC**
- **Ethereum - ETH**
- **Other Cryptocurrencies**

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Advance-Decline Lines - 2018

- Downtrend intact for FX 10 Large-cap A-D line while…
- The FX 40 Mid-cap A-D line breaking to new lows while the FX 250 Small-cap A-D tests lower end of 1 ½ range.
- **With lower highs in place a move ABOVE the September highs will be needed to confirm an upside trend reversal.**



FS CryptoFX 10 Large-cap Advance-Decline line

Downtrend intact at new lows

FS CryptoFX 40 Mid-cap Advance-Decline line

Breaking below 2 ½ month trading range

FS CryptoFX 250 Small-cap Advance-Decline line

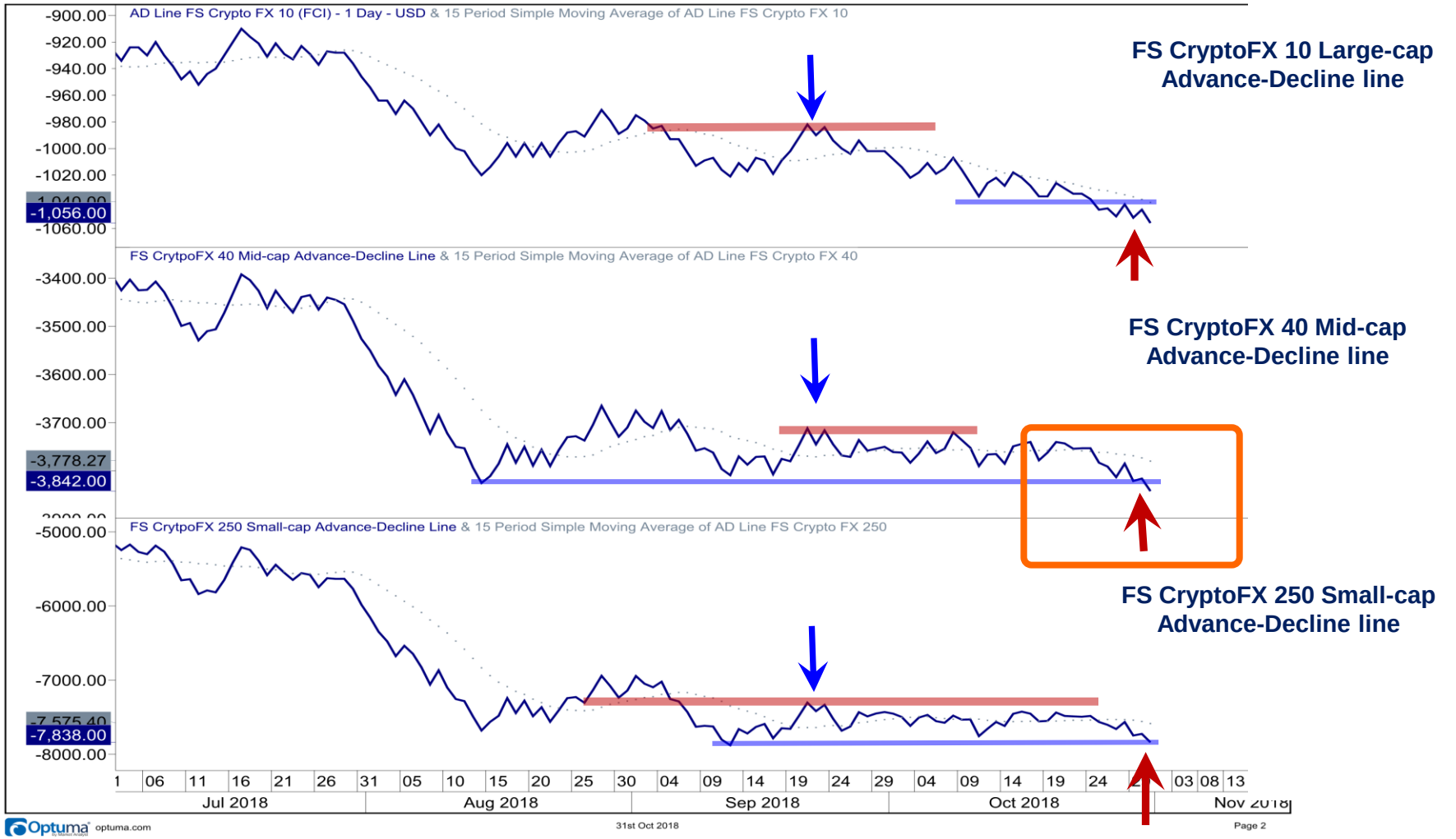
Challenging 1 ½ month trading range lows

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Advance-Decline Lines – Short-term

- Breadth has decayed this week as the FX 10 and FX 40 A-D line broke to new lows while the FX250 challenges 1 ½ month lows



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

FS CryptoFX Advance-Decline Indices

FS CryptoFX Market Cap Size Indices

FS CryptoFX Sector Indices

Bitcoin – BTC

Ethereum - ETH

Other Cryptocurrencies

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX 10 – Large-cap Index

- Consolidating under the 2018 downtrend with a move ABOVE the September highs near 136 needed to signal a positive trend reversal.
- Note relative performance of the FX vs the FX 250 remains below the September reversal lows – A positive for ALTs



September highs remain first key reversal level

RSI neutral

FX 10 vs FX 250

Breaking below a key reversal level at the September lows

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX 250 Small-cap Index

- Early signs of a trend reversal with a move above 82.60 needed to signal an upside trend reversal.
- **Note: Relative performance versus the FX 10 is holding above a key reversal level at the September highs.**



A move above the September highs at 82.60 is needed to signal an upside reversal

Daily RSI – Daily

FX 250 vs FX 10

Very short-term weakness BUT still ABOVE a key reversal level at the September highs signaling a relative trend reversal in place.

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

FS CryptoFX Advance-Decline Indices

FS CryptoFX Market Cap Size Indices

FS CryptoFX Sector Indices

Bitcoin – BTC

Ethereum - ETH

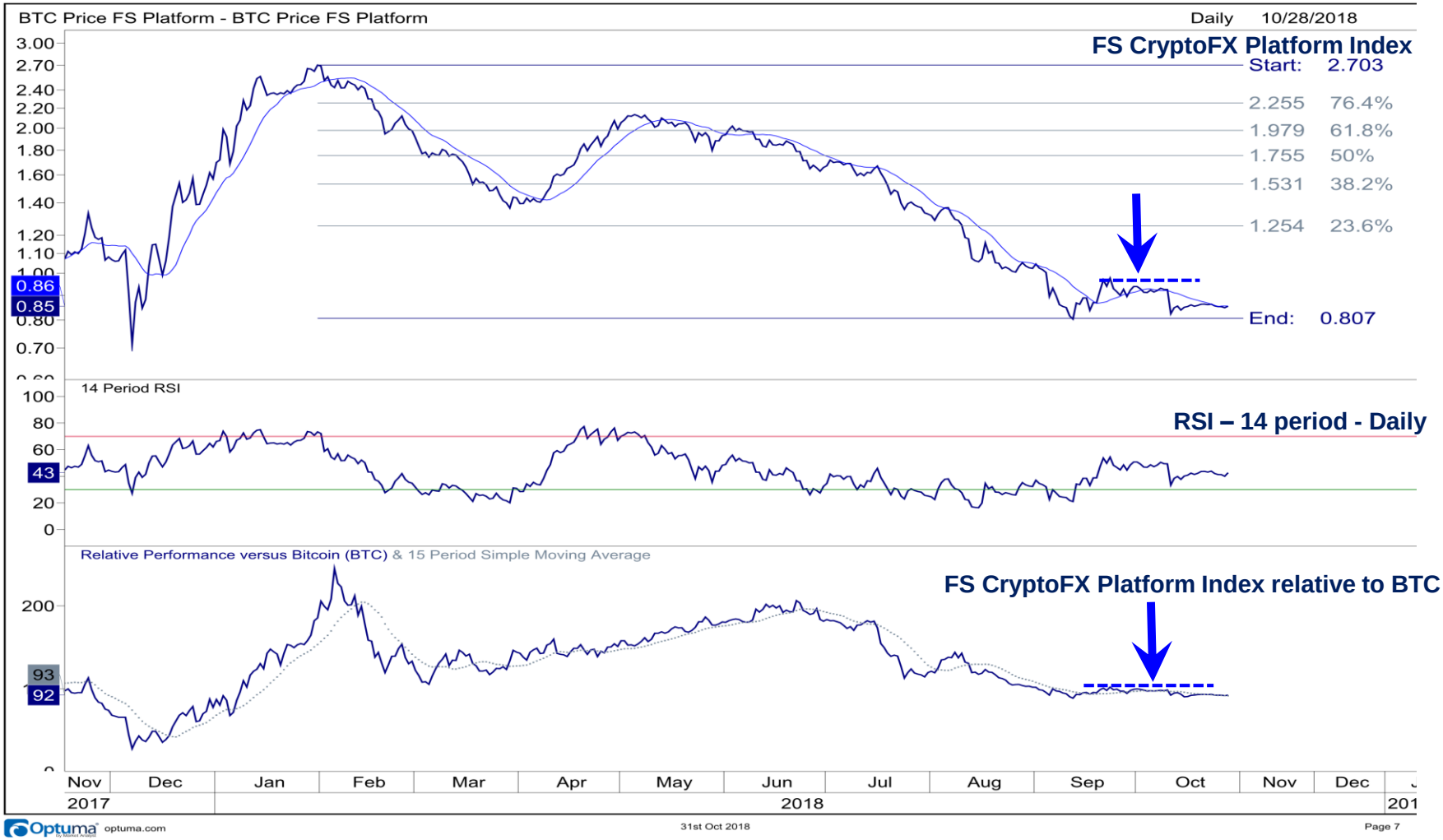
Other Cryptocurrencies

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Platform Index

- Very early signs of a trend shift taking hold – September highs remains key upside reversal level



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Privacy Index

- Very early signs of a trend shift taking hold – September highs remains key upside reversal level



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Commodity Index

- Very early signs of a trend shift taking hold – September highs remains key upside reversal level
- (-) Relative performance vs BTC is making new lows

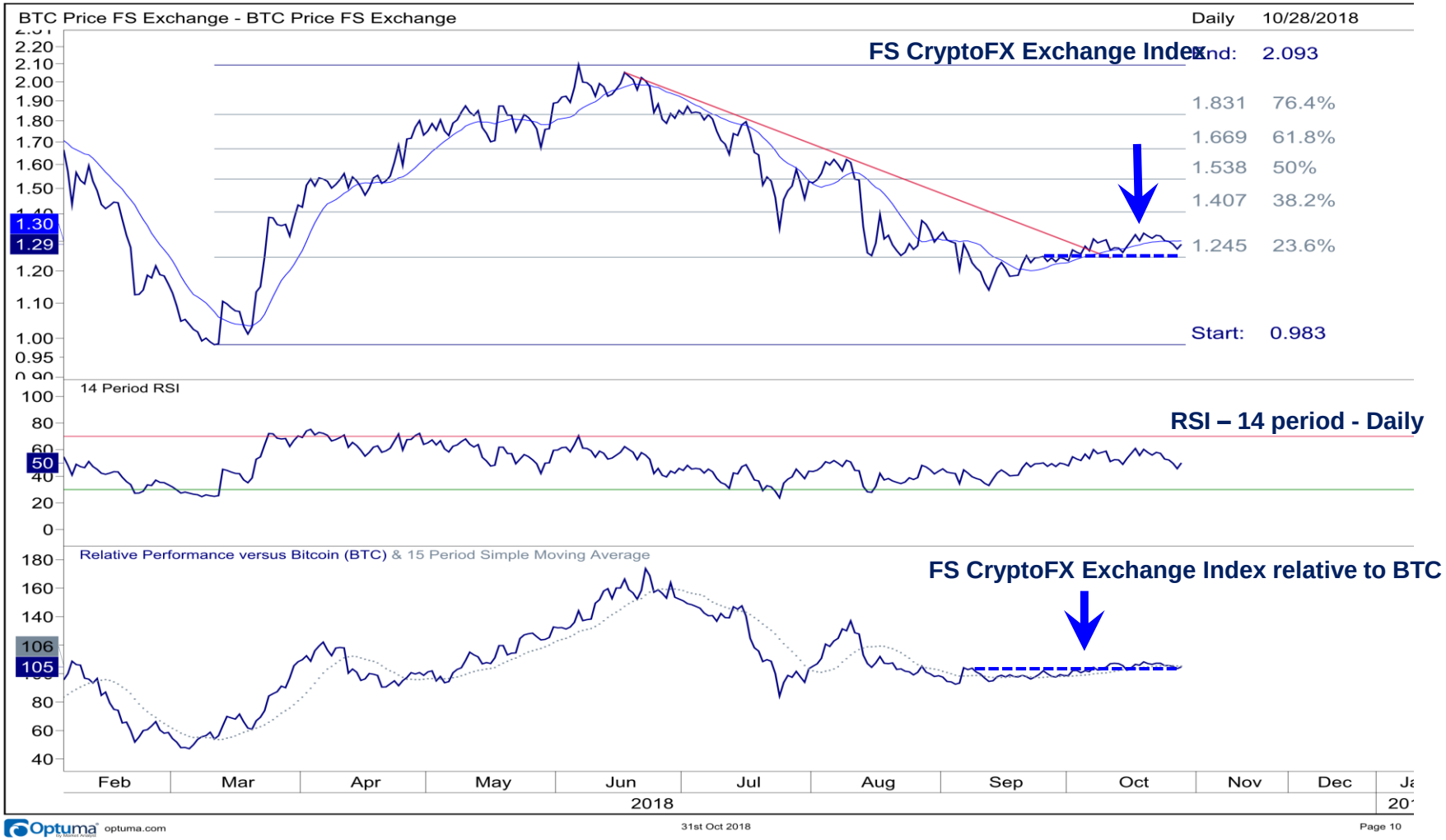


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

FS CryptoFX Exchange Index

- FX Exchange is reversing its USD price downtrend AND is consolidating above key support near 1.25



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

FS CryptoFX Advance-Decline Indices

FS CryptoFX Market Cap Size Indices

FS CryptoFX Sector Indices

Bitcoin – BTC

Ethereum - ETH

Other Cryptocurrencies

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin – BTC - Daily

- Sideways trendless price action continues between two key levels of BTC 6200-6840.
- A move above 6840 is needed to suggest a trend shift is developing with 7400 followed by 8500 next key support.
- Key downside support remains at 6200 with next support at 5775 followed by 5000.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin – BTC – 4-hour –4-month perspective

- There is no meaningful evidence **yet** to signal which way BTC will resolve its increasingly narrow trading range.

6833-6840 remain the first key upside reversal level which is now that will need to be exceeded to signal an upturn while 6200 remains key downside support.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

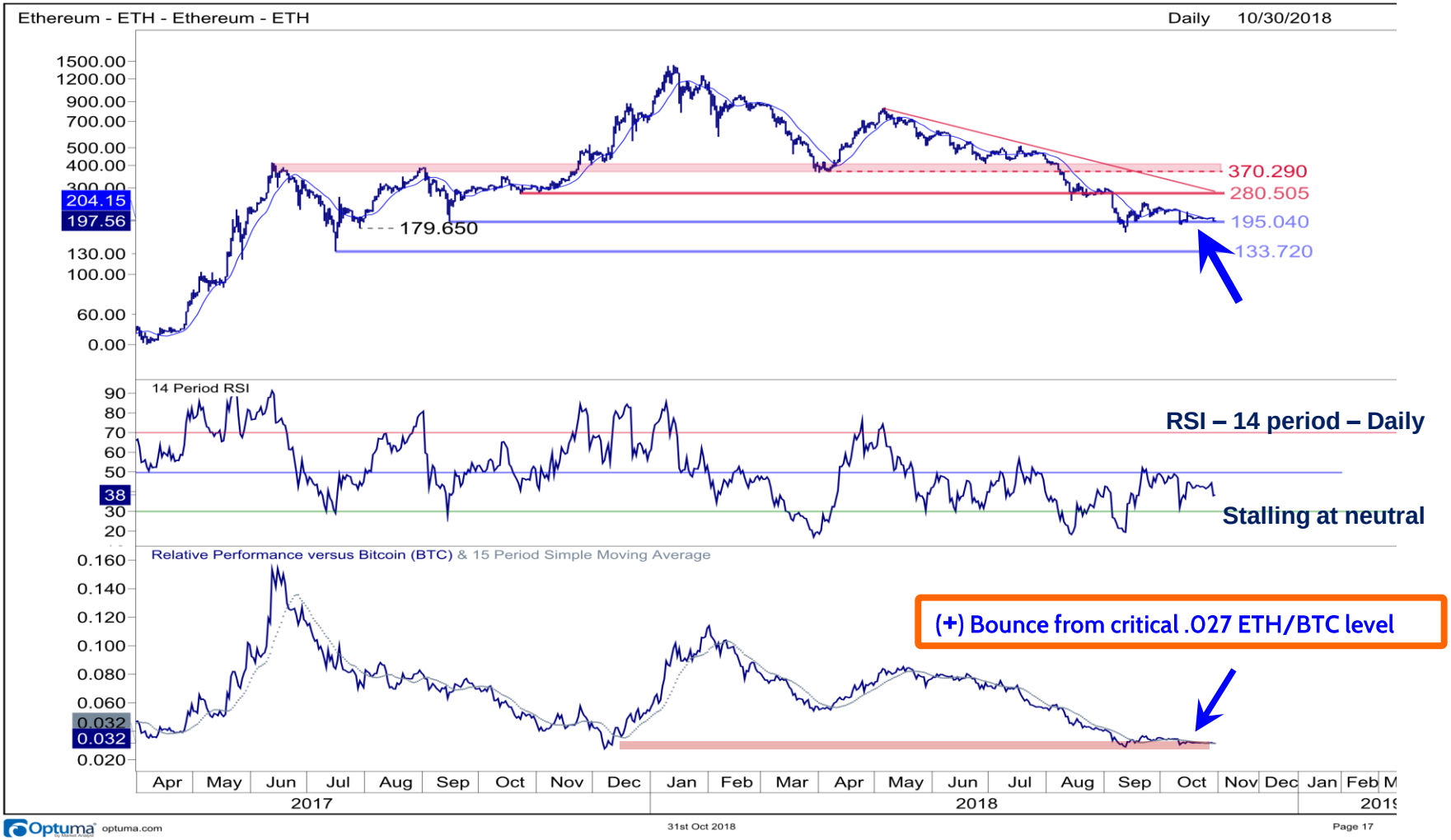
- FS CryptoFX Advance-Decline Indices
- FS CryptoFX Market Cap Size Indices
- FS CryptoFX Sector Indices
- Bitcoin – BTC
- Ethereum - ETH
- Other Cryptocurrencies

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Ethereum – Daily

- **Downtrend intact BUT further signs of bottoming.**
- **On the positive side ETH is holding 195 support AND ETHBTC has held .027 near the December lows.**
- Major resistance remains at 250-280 which will need to be exceeded to signal an upside reversal.

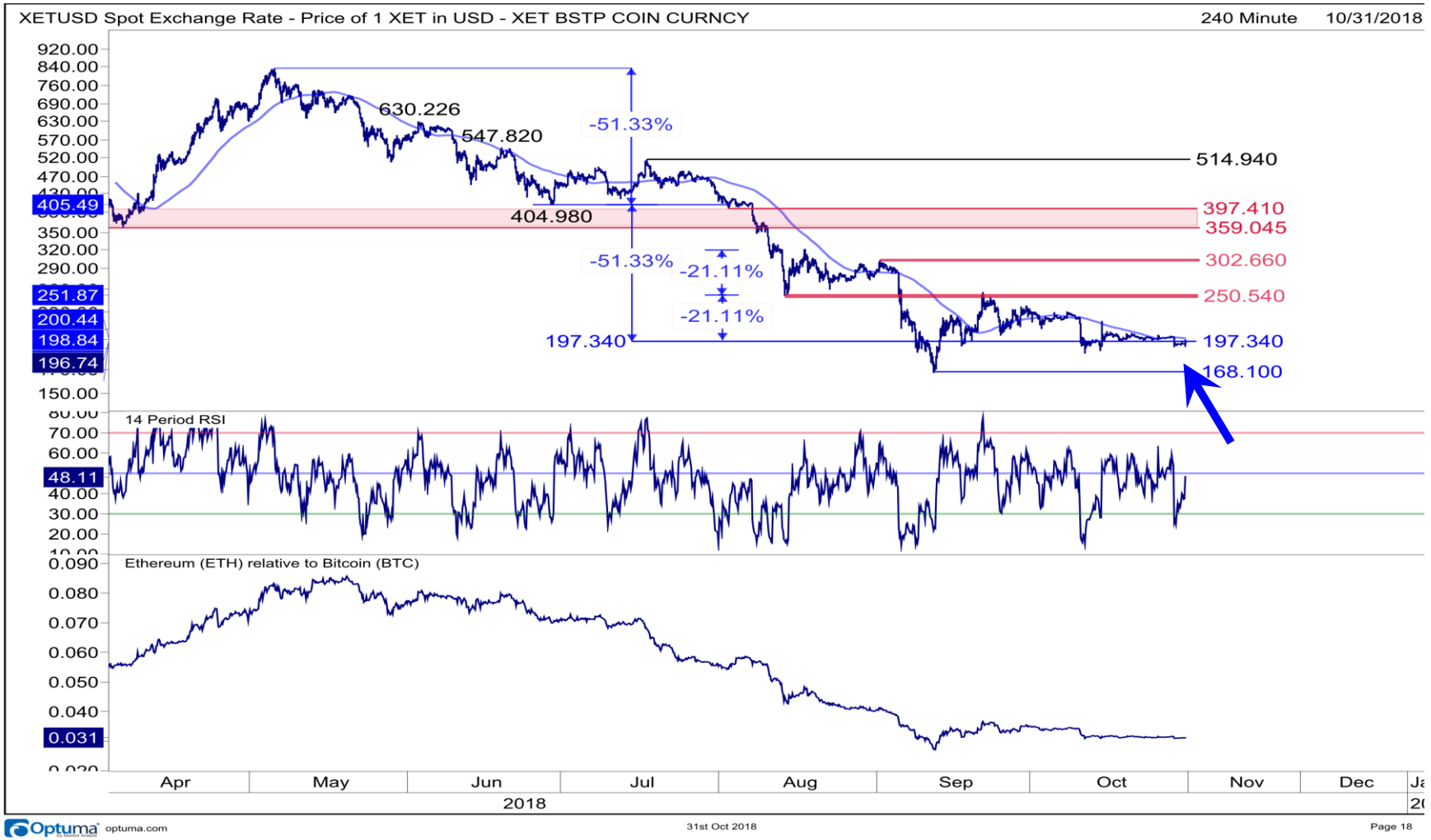


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Ethereum – 4-hour

- Consolidation continues above 195 support continues with a move above 250 needed to suggest the first stages of a positive trend reversal



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Fundstrat Weekly Crypto Technical Review

- FS CryptoFX Advance-Decline Indices
- FS CryptoFX Market Cap Size Indices
- FS CryptoFX Sector Indices
- Bitcoin – BTC
- Ethereum - ETH
- Other Cryptocurrencies

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Stellar – XLM

- XLM notably diverging holding above its Summer lows and challenging May-September downtrend.
- A move above its downtrend near 24-25 would be a bullish trend reversal for XLM



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin Cash – Daily

- Downtrend intact with 587 THE key upside reversal level for BCH **with 1407 critical downside support.**
- What's needed to turn BCH bullish? A move above 650 would establish a higher high and confirm an upside trend reversal.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Bitcoin Cash – 4-hour

- BCH retesting critical support near 410.
- A move above 600 and the September relative highs is needed to signal a trend shift.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Litecoin – Daily

- **Critical retest/stress test of 47 support underway** WITH relative performance vs BTC challenging the September lows.
- **First upside reversal level is near 65.5.**



Downtrend intact stress-testing 47 support...

...with relative performance challenging/breaking to new lows vs BTC

Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

NEO – NEO

- Downtrend intact with a retest of 16 support underway potentially developing a double bottom.
- The September highs at 20.40 remains the key upside reversal level



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

EOS – EOS

- Basing/trendless with key upside resistance and reversal at 6.65.



Source: Fundstrat, Bloomberg, Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

Cardano - ADA

- Downtrend intact with a move above .088 and the September-October relative vs BTC required to signal a trend shift.



Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

XRP - XRP

- XRP's pullback has tested support and is in the early stages of turning up reversing its uptrend moving above its 15-dma.
- Relative performance con vs BTC continues to improve.

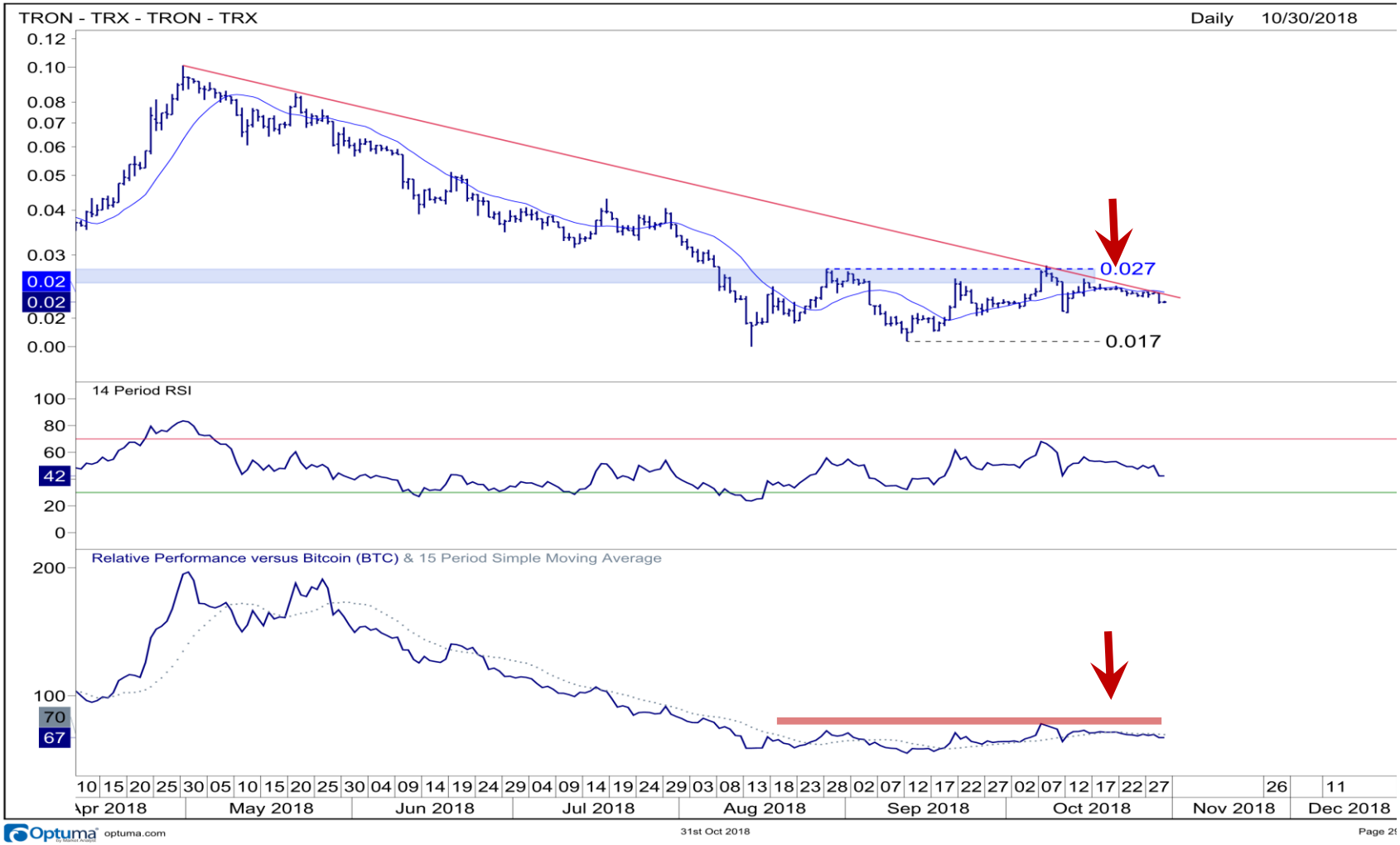


Source: Fundstrat, Bloomberg Optuma

Robert Sluymer, CFA
+1 212 293 7135
robert.sluymer@fundstrat.com

TRON – TRX

- Challenging key reversal level at resistance at the September highs near .027 with relative performance vs BTC also on verge of reversing above its August-October highs.



Source: Fundstrat, Bloomberg Optuma

Disclosures

This research is for the clients of Fundstrat Global Advisors only. For important disclosures and rating histories regarding sectors or companies that are the subject of this report, please contact your sales representative or Fundstrat Global Advisors at 150 East 52nd Street, New York, NY, 10022 USA.

Analyst Certification (Reg AC)

Robert Sluymer, the research analyst denoted by an "AC" on the cover of this report, hereby certifies that all of the views expressed in this report accurately reflect his personal views, which have not been influenced by considerations of the firm's business or client relationships.

Neither I, nor a member of my household is an officer, director, or advisory board member of the issuer(s) or has another significant affiliation with the issuer(s) that is/are the subject of this research report. There is a possibility that we will from time to time have long or short positions in, and buy or sell, the securities or derivatives, if any, referred to in this research

Conflicts of Interest

This research contains the views, opinions and recommendations of Fundstrat. As of the time of writing and publication of this presentation, Fundstrat does not know of, or have reason to know of any material conflicts of interest at the time of the publication of this presentation. The Company has no contractual relationship, nor have we received any compensation from any of the companies listed in this research report.

Analyst Industry/Sector Views

Positive (+): The analyst expects the performance of his industry/sector coverage universe over the next 6-18 months to be attractive vs. the relevant broad market benchmark, being the S&P 500 for North America.

Neutral (N): The analyst expects the performance of his or her industry/sector coverage universe over the next 6-18 months to be in line with the relevant broad market benchmark, being the S&P 500 for North America.

Negative (-): The analyst expects his or her industry coverage universe over the next 6-18 months to underperform vs. the relevant broad market benchmark, being the S&P 500 for North America.

General Disclosures

Fundstrat Global Advisors is an independent research company and is not a registered investment advisor and is not acting as a broker dealer under any federal or state securities laws. Fundstrat Global Advisors is a member of IRC Securities' Research Prime Services Platform. IRC Securities is a FINRA registered broker-dealer that is focused on supporting the independent research industry. Certain personnel of Fundstrat (i.e. Research Analysts) are registered representatives of IRC Securities, a FINRA member firm registered as a broker-dealer with the Securities and Exchange Commission and certain state securities regulators. As registered representatives and independent contractors of IRC Securities, such personnel may receive commissions paid to or shared with IRC Securities for transactions placed by Fundstrat clients directly with IRC Securities or with securities firms that may share commissions with IRC Securities in accordance with applicable SEC and FINRA requirements. IRC Securities does not distribute the research of Fundstrat, which is available to select institutional clients that have engaged Fundstrat.

As registered representatives of IRC Securities our analysts must follow IRC Securities' Written Supervisory Procedures. Notable compliance policies include (1) prohibition of insider trading or the facilitation thereof, (2) maintaining client confidentiality, (3) archival of electronic communications, and (4) appropriate use of electronic communications, amongst other compliance related policies.

Fundstrat does not have the same conflicts that traditional sell-side research organizations have because Fundstrat (1) does not conduct any investment banking activities, (2) does not manage any investment funds, and (3) our clients are only institutional investors.

This research is for the clients of Fundstrat Global Advisors only. Additional information is available upon request. Information has been obtained from sources believed to be reliable but Fundstrat Global Advisors does not warrant its completeness or accuracy except with respect to any disclosures relative to Fundstrat and the analyst's involvement (if any) with any of the subject companies of the research. All pricing is as of the market close for the securities discussed, unless otherwise stated. Opinions and estimates constitute our judgment as of the date of this material and are subject to change without notice. Past performance is not indicative of future results. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, risk tolerance, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies. The recipient of this report must make its own independent decision regarding any securities or financial instruments mentioned herein. Except in circumstances where Fundstrat expressly agrees otherwise in writing, Fundstrat is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice, including within the meaning of Section 15B of the Securities Exchange Act of 1934. All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client website, fundstrat.com. Not all research content is redistributed to our clients or made available to third-party aggregators or the media. Please contact your sales representative if you would like to receive any of our research publications.

Copyright 2018 Fundstrat Global Advisors LLC. All rights reserved. No part of this material may be reprinted, sold or redistributed without the prior written consent of Fundstrat Global Advisors LLC.